T-12 OPERATING STATEMENT

Heritage Scholars Hall | Columbus, OH

Property	Heritage Scholars Hall
Period Ending	December 20, 2023
Basis	Accrual - Trailing 12 Months
Prepared By	Harbor Point Management Group
Size	173 beds

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	178,392	181,668	167,803	169,632	174,517	161,993	180,989	166,546	170,438	171,265	164,815	180,448	2,068,505
4010 Loss to Lease	59,457	59,302	59,422	62,466	62,457	60,560	59,942	60,410	59,133	65,751	59,752	58,497	727,146
4020 Vacancy Loss	41,094	45,889	42,880	44,352	42,881	41,360	45,639	46,222	45,225	44,502	43,918	45,026	528,989
4030 Concessions	9,975	10,154	10,674	10,015	10,858	10,718	10,228	10,937	10,545	10,885	9,943	9,960	124,893
4040 Bad Debt	108,090	116,997	108,450	112,500	116,736	116,254	116,513	119,566	107,431	109,446	119,430	118,185	1,369,599
4050 Late Fees	27,344	25,222	26,971	25,686	26,609	27,412	26,888	26,952	28,067	26,271	28,803	27,251	323,478
4060 Utility Reimbursements	109,245	101,057	101,524	110,742	112,145	113,324	100,569	102,689	102,227	103,094	103,350	109,707	1,269,673
4070 Parking Income	88,601	92,265	93,918	93,961	90,397	93,230	84,915	88,477	88,981	94,766	88,600	90,638	1,088,748
4080 Application Fees	86,703	95,265	93,235	90,800	91,825	87,216	88,333	93,230	98,993	96,285	86,746	94,477	1,103,107
4090 Pet Rent	84,951	90,021	82,280	86,904	82,440	82,417	83,415	92,857	86,419	88,488	81,320	89,207	1,030,719
4100 Laundry Income	115,329	112,280	109,455	114,941	111,514	114,040	119,582	125,153	109,165	119,811	120,919	109,354	1,381,542
4110 Cable/Internet Revenue	7,198	7,545	7,126	7,718	7,526	7,193	8,117	7,602	7,788	7,421	7,828	7,945	91,007
4120 CAM Reimbursements	144,054	143,186	132,217	148,816	137,266	142,690	149,688	146,962	145,286	136,431	142,768	149,678	1,719,042
4130 Tax Reimbursements	68,505	65,907	65,676	63,189	69,732	66,431	68,660	62,045	67,336	62,938	64,412	61,066	785,897
4140 Insurance Reimbursemen	53,731	52,545	57,055	58,302	55,405	52,679	59,086	51,526	56,482	56,391	52,392	52,306	657,901
4150 Percentage Rent	29,138	30,017	29,047	27,784	31,194	29,354	28,484	30,812	31,206	28,334	30,895	28,283	354,549
4160 Misc. Income	80,826	83,474	84,495	83,448	83,554	87,134	78,663	85,324	83,851	88,675	85,434	79,969	1,004,849
4170 Payroll - Management	14,305	14,200	14,469	15,738	15,499	14,799	14,144	13,880	15,671	14,285	15,470	15,010	177,470
4180 Payroll - Leasing	8,664	7,927	8,507	8,555	8,058	8,040	8,700	8,124	8,661	8,195	8,389	8,410	100,230
4190 Payroll - Maintenance	3,296	3,308	3,615	3,329	3,459	3,523	3,453	3,692	3,451	3,276	3,649	3,624	41,674
4200 Payroll Taxes & Benefits	15,104	15,990	15,337	15,751	16,153	16,590	16,442	14,688	14,492	16,591	15,902	15,028	188,069
4210 Repairs - Plumbing	8,300	7,811	8,369	8,105	7,982	7,709	7,570	7,415	7,831	7,563	7,870	7,778	94,303
4220 Repairs - HVAC	18,981	21,019	20,217	21,515	19,558	20,317	20,074	20,989	19,004	20,251	20,593	19,651	242,169
4230 Repairs - Electrical	2,684	2,599	2,605	2,544	2,603	2,485	2,587	2,491	2,457	2,407	2,364	2,543	30,369

Report generated 12/20/2023. Figures are unaudited and subject to change.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4470 Property Insurance	3,492	3,977	3,844	3,569	3,570	3,716	3,575	3,736	3,874	3,683	3,709	3,921	44,665
4480 Real Estate Taxes	12,246	12,383	12,475	11,563	12,565	11,540	12,967	12,632	13,114	11,492	12,453	12,360	147,790
4490 Asset Management Fee	7,230	7,220	7,058	7,668	7,914	7,587	7,909	7,277	7,720	7,605	8,085	7,071	90,345
4500 Replacement Reserves	7,745	6,947	7,804	7,697	7,138	7,422	7,127	7,421	7,185	7,569	7,099	6,987	88,140
4510 Roof Repairs	17,317	16,496	16,474	17,092	17,291	15,859	15,485	16,870	16,053	15,500	17,376	15,783	197,597
4520 Parking Lot Repairs	11,478	12,996	11,813	13,021	11,617	12,210	11,727	11,718	12,956	12,627	11,823	11,803	145,790
4530 Signage	11,294	12,685	11,753	11,966	12,256	11,718	12,927	11,946	11,855	11,993	11,963	12,070	144,426
4540 Tenant Improvements	11,928	11,360	11,328	12,546	12,083	11,231	12,327	11,825	12,505	11,833	12,673	12,325	143,961
4550 Leasing Commissions	8,205	7,997	7,358	7,772	7,840	8,377	7,579	7,391	7,890	8,397	8,447	8,111	95,364
4000 Gross Potential Rent	178,288	180,972	162,147	165,193	176,503	176,304	174,951	158,067	177,556	166,126	177,156	161,342	2,054,605
4010 Loss to Lease	75,921	71,596	71,929	67,304	70,693	74,043	69,664	74,267	72,816	75,931	72,026	74,421	870,612
4020 Vacancy Loss	90,313	92,896	89,222	89,394	91,537	95,671	92,123	92,400	88,737	92,780	90,431	96,588	1,102,092
4030 Concessions	38,782	37,089	37,799	38,247	35,551	39,428	38,888	37,838	36,372	39,357	38,685	38,681	456,716
4040 Bad Debt	80,186	77,593	77,527	79,569	80,140	88,104	87,105	78,371	87,100	80,478	81,175	88,126	985,474
4050 Late Fees	128,033	118,565	115,265	123,243	122,072	114,914	128,299	125,595	124,545	117,652	115,340	115,452	1,448,975
4060 Utility Reimbursements	43,943	44,090	45,881	44,822	42,880	41,726	43,062	43,976	45,065	41,639	45,645	45,377	528,107
4070 Parking Income	147,672	140,525	141,621	156,935	142,810	146,670	153,133	141,795	154,211	141,920	144,136	148,003	1,759,430
4080 Application Fees	71,203	78,223	77,494	73,992	74,179	80,451	75,799	74,301	76,756	80,280	73,824	78,631	915,133
4090 Pet Rent	18,351	18,477	19,307	18,441	19,678	19,485	19,578	18,486	18,919	19,745	18,718	17,394	226,579
4100 Laundry Income	147,882	138,941	136,623	149,743	137,035	150,729	151,230	143,426	142,110	149,024	141,057	139,969	1,727,770
4110 Cable/Internet Revenue	110,958	110,718	108,373	118,190	118,759	104,579	110,923	107,221	105,396	117,298	116,722	116,153	1,345,292
4120 CAM Reimbursements	78,934	77,371	75,488	70,907	73,629	71,590	77,835	70,214	78,866	78,353	69,916	72,019	895,121
4130 Tax Reimbursements	136,415	133,372	126,845	137,789	127,076	132,876	132,576	131,808	135,422	129,081	124,057	128,186	1,575,503
4140 Insurance Reimbursemen	106,945	117,718	107,572	118,677	118,914	111,062	104,823	117,020	104,569	113,927	109,702	111,510	1,342,438
4150 Percentage Rent	98,778	95,652	107,649	102,393	102,023	106,036	106,652	104,714	99,570	101,514	108,075	104,999	1,238,053
4160 Misc. Income	102,235	97,399	101,763	97,777	93,483	92,641	96,895	99,632	89,170	101,069	92,405	94,557	1,159,026
4170 Payroll - Management	5,003	4,957	4,931	4,443	4,676	4,923	4,583	4,850	4,462	4,906	4,545	4,835	57,113
4180 Payroll - Leasing	11,580	10,608	10,971	10,728	10,716	10,290	11,430	10,209	10,312	10,477	10,196	10,737	128,254
4190 Payroll - Maintenance	13,316	13,567	12,326	12,126	12,777	12,449	11,831	13,287	13,384	12,983	12,693	12,314	153,052
4200 Payroll Taxes & Benefits	14,753	15,372	15,216	15,520	14,928	15,651	15,534	14,553	16,536	14,620	16,061	15,150	183,894
4210 Repairs - Plumbing	15,210	15,151	16,159	15,554	14,201	15,466	15,840	14,428	15,551	15,811	15,217	15,119	183,707
4220 Repairs - HVAC	15,229	15,950	16,342	15,912	15,955	14,773	16,121	15,944	16,693	16,619	14,952	14,788	189,278
4230 Repairs - Electrical	14,155	14,414	15,179	13,913	13,969	13,672	13,653	14,658	14,013	14,929	13,935	14,623	171,112
4240 Repairs - Appliances	15,200	15,134	15,751	14,215	14,837	15,107	15,060	14,726	15,248	16,022	15,008	14,778	181,085
4250 Painting & Decorating	13,410	13,898	13,117	13,865	14,305	14,433	14,496	14,705	14,544	13,920	13,267	14,319	168,281
4260 Flooring	17,802	18,095	18,946	17,040	18,065	16,966	18,683	17,437	17,915	18,906	17,899	17,563	215,316
4270 Make-Ready / Turnover	13,269	14,203	14,219	12,957	13,806	13,282	14,229	13,018	13,585	13,694	13,602	12,645	162,508
4280 Landscaping Contract	17,141	16,183	16,524	17,835	16,975	17,050	17,104	17,128	16,105	17,676	16,790	17,012	203,522
4290 Snow Removal	6,871	6,806	6,448	6,386	6,831	6,487	7,288	6,640	7,057	7,227	7,271	7,019	82,330
4300 Janitorial	8,687	7,960	8,107	8,618	8,291	8,040	7,916	7,679	8,411	8,089	8,702	7,801	98,302
4310 Pest Control	15,824	15,830	15,689	15,596	14,523	15,449	16,082	14,839	14,697	16,012	15,852	15,302	185,693
4320 Trash Removal	7,015	7,099	6,737	6,518	6,950	6,876	6,718	6,343	6,425	6,523	6,435	6,949	80,587
4330 Elevator Contract	5,439	5,554	5,569	5,251	5,586	5,748	5,654	5,187	5,258	5,620	5,795	5,683	66,346
4340 Fire & Life Safety	2,587	2,591	2,691	2,921	2,947	2,899	2,676	2,606	2,727	2,969	2,872	2,590	33,076
4350 Security	20,537	18,745	20,186	20,960	18,367	19,317	18,288	18,858	18,768	20,442	19,592	18,744	232,803
4360 Electricity - Common	21,498	18,873	20,044	20,032	20,189	18,802	20,378	21,521	19,215	21,370	18,955	20,914	241,793
4370 Gas - Common	12,417	10,960	12,006	12,331	11,152	11,722	11,015	11,091	11,029	11,564	10,965	11,050	137,302

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Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Pre-leasing for the coming academic year stands at 96.8% with rental rates per bed averaging $1,299. Management fees are calculated at 5.5% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 5.1% over the hold period.

Management fees are calculated at 5.9% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.01% reflects the in-place income and the stabilized occupancy assumption. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Debt service coverage ratio was 6.95x on a trailing basis against a covenant minimum of 1.20x.

Management Commentary

The property is located 6 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Collections for the period were 95.1% of billed charges, with bad debt of 5.6% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 47th business day. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 21 additional team members. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Service requests are tracked through a work-order system with an average completion time of 25 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 44th business day. Pre-leasing for the coming academic year stands at 90.7% with rental rates per bed averaging $1,299.

Valuation Discussion

Pre-leasing for the coming academic year stands at 94.2% with rental rates per bed averaging $1,299. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The going-in capitalization rate of 5.47% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 7.0% of collected revenue and are included in operating expenses.

Net operating income is projected to grow at a compound annual rate of 7.3% over the hold period. Effective gross income for the trailing period was $396,000, representing a 7.4% increase over the prior year. Operating expenses totaled $434,000 or approximately 19.28 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.71x on a trailing basis against a covenant minimum of 1.20x. Pre-leasing for the coming academic year stands at 93.1% with rental rates per bed averaging $1,299.

Property Operations

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Pre-leasing for the coming academic year stands at 89.4% with rental rates per bed averaging $1,299. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The property is located 3 blocks from the main campus with a dedicated shuttle serving fall and spring terms.

Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Service requests are tracked through a work-order system with an average completion time of 6 hours. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The manager completes a monthly walk of the property and submits a variance report to the owner by the 19th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 40 additional team members.

Financial Analysis

The going-in capitalization rate of 7.80% reflects the in-place income and the stabilized occupancy assumption. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Operating expenses totaled $36,000 or approximately 26.58 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.5% over the hold period.

Management fees are calculated at 5.1% of collected revenue and are included in operating expenses. Pre-leasing for the coming academic year stands at 93.8% with rental rates per bed averaging $1,299. The going-in capitalization rate of 7.62% reflects the in-place income and the stabilized occupancy assumption. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

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Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4320 Trash Removal	8,015	7,744	7,430	7,234	7,588	7,828	7,942	6,984	8,006	7,274	7,686	7,764	91,495
4330 Elevator Contract	6,197	6,532	7,024	6,825	6,515	6,419	6,478	6,512	6,536	6,594	6,897	6,349	78,878
4340 Fire & Life Safety	2,016	1,992	1,945	2,045	1,935	2,043	2,044	1,998	2,087	1,922	1,948	1,855	23,832
4350 Security	16,364	17,799	16,363	17,139	16,643	17,464	17,614	16,080	16,624	16,345	15,890	16,381	200,705
4360 Electricity - Common	3,067	3,073	3,074	3,209	2,865	3,123	2,910	3,241	2,956	2,989	3,234	3,076	36,816
4370 Gas - Common	18,507	20,438	20,248	19,680	18,386	18,971	18,793	19,147	19,336	19,922	20,248	20,589	234,263
4380 Water & Sewer	14,239	15,348	15,999	14,434	15,324	15,704	14,487	16,222	14,709	15,360	14,661	15,745	182,233
4390 Telephone/Internet	9,491	9,195	9,923	9,020	8,682	8,793	9,748	9,176	9,098	9,790	9,657	9,843	112,417
4400 Advertising	19,424	19,269	17,281	17,914	19,253	19,252	18,725	19,400	17,686	17,378	17,566	18,814	221,961
4410 Resident Events	8,074	8,174	7,921	7,946	7,471	7,949	7,385	8,062	7,307	7,897	7,910	7,421	93,517
4420 Office Supplies	8,175	7,620	8,217	7,478	7,580	7,614	7,315	7,994	8,274	8,034	7,760	7,944	94,005
4430 Legal & Professional	12,123	12,610	11,988	12,409	11,884	12,886	13,025	12,859	12,932	11,793	12,331	12,017	148,857
4440 Accounting & Audit	7,158	7,341	6,608	7,083	6,555	6,940	6,864	6,545	6,812	7,389	7,297	6,704	83,296
4450 Licenses & Permits	11,184	11,657	11,892	11,441	11,548	10,640	11,903	11,719	11,893	10,589	11,647	11,223	137,336
4460 Management Fee	6,644	7,264	7,252	6,630	6,982	7,186	6,768	6,670	7,143	7,372	6,952	6,812	83,675
4470 Property Insurance	5,015	4,654	5,048	4,899	4,733	4,916	4,984	4,919	4,830	4,883	5,073	5,019	58,976
4480 Real Estate Taxes	16,219	15,102	16,700	17,161	15,507	15,739	17,062	16,702	15,748	16,311	16,219	16,527	194,996
4490 Asset Management Fee	5,039	5,247	4,960	5,181	5,001	5,352	5,288	5,382	5,104	5,445	5,066	5,020	62,085
4500 Replacement Reserves	10,376	10,711	10,868	10,386	10,223	10,658	10,511	11,200	10,525	10,414	10,632	10,208	126,714
4510 Roof Repairs	12,555	13,500	12,143	12,775	12,346	12,175	12,551	13,722	12,251	13,742	13,513	13,548	154,821
4520 Parking Lot Repairs	7,659	8,498	8,268	8,514	7,811	7,568	8,077	8,238	8,572	8,434	7,598	8,462	97,698
4530 Signage	3,424	3,204	3,162	3,384	3,166	3,267	3,090	3,013	3,095	3,442	3,233	3,246	38,725
4540 Tenant Improvements	7,440	7,291	7,201	7,175	7,461	7,928	7,834	7,858	7,794	7,364	8,057	7,730	91,132
4550 Leasing Commissions	5,929	6,203	5,661	5,752	5,733	5,890	6,004	6,111	6,185	5,906	5,919	5,777	71,069
4000 Gross Potential Rent	176,814	160,848	180,627	167,781	174,288	169,687	181,081	178,020	176,378	181,204	167,482	168,611	2,082,821
4010 Loss to Lease	80,663	77,763	75,249	76,377	75,261	76,074	71,877	77,679	77,304	79,873	80,986	81,844	930,951
4020 Vacancy Loss	59,413	64,222	58,656	58,425	62,941	61,258	58,689	63,491	59,158	62,898	63,284	58,052	730,486
4030 Concessions	140,530	147,695	132,725	141,344	144,840	148,681	145,052	148,794	131,169	148,424	146,898	141,406	1,717,559
4040 Bad Debt	152,670	148,876	148,573	148,385	155,194	140,038	141,602	142,371	145,022	151,029	152,298	148,587	1,774,647
4050 Late Fees	49,080	51,093	52,381	48,207	54,125	50,217	54,103	53,031	54,408	48,106	52,790	50,441	617,982
4060 Utility Reimbursements	5,005	4,538	4,781	4,810	4,847	5,005	4,907	4,605	4,870	4,831	5,028	4,927	58,154
4070 Parking Income	100,377	98,323	109,931	100,218	102,569	98,509	96,913	101,708	106,525	104,842	107,051	107,308	1,234,275
4080 Application Fees	80,106	81,407	80,014	89,004	77,911	83,684	85,352	78,024	84,153	80,169	78,171	82,750	980,742
4090 Pet Rent	64,994	66,371	58,920	59,616	64,278	63,176	59,840	65,159	63,589	66,935	63,711	61,173	757,764
4100 Laundry Income	22,393	24,360	24,221	25,501	22,505	24,141	23,475	24,660	23,010	25,135	23,967	23,603	286,972
4110 Cable/Internet Revenue	27,374	29,180	29,359	28,469	27,308	26,210	29,559	25,983	26,022	26,091	28,715	27,281	331,552
4120 CAM Reimbursements	74,384	72,620	76,637	67,752	68,008	69,204	73,345	69,812	68,588	68,128	76,717	68,267	853,460
4130 Tax Reimbursements	144,959	150,386	147,007	144,512	141,758	131,793	141,366	142,992	141,418	134,947	149,335	144,681	1,715,153
4140 Insurance Reimbursemen	64,132	66,614	67,672	69,473	68,721	64,844	69,274	65,663	62,475	65,900	63,429	69,506	797,704
4150 Percentage Rent	65,147	68,256	66,433	65,896	67,418	67,630	67,098	66,159	67,793	63,829	71,593	66,940	804,192
4160 Misc. Income	6,565	6,293	6,057	6,131	6,278	6,508	6,575	6,239	6,675	5,974	6,227	5,957	75,478
4170 Payroll - Management	14,902	14,776	14,718	14,566	16,080	15,601	15,699	14,459	14,694	16,332	15,322	14,811	181,962
4180 Payroll - Leasing	11,519	12,168	12,688	12,556	12,709	11,844	11,295	12,798	11,969	12,577	12,551	12,097	146,771
4190 Payroll - Maintenance	19,067	19,703	19,493	19,446	18,408	19,119	19,279	17,346	18,452	19,065	19,540	18,382	227,300

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Operating Performance

Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Pre-leasing for the coming academic year stands at 95.8% with rental rates per bed averaging $1,299. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Net operating income is projected to grow at a compound annual rate of 3.6% over the hold period. The going-in capitalization rate of 5.74% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 3.8% of collected revenue and are included in operating expenses.

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The property is located 4 blocks from the main campus with a dedicated shuttle serving fall and spring terms. The going-in capitalization rate of 6.27% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $448,000 or approximately 14.81 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Property Operations

The manager completes a monthly walk of the property and submits a variance report to the owner by the 15th business day. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Service requests are tracked through a work-order system with an average completion time of 11 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 94.0% of billed charges, with bad debt of 7.8% of gross potential income.

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 4 hours.

Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Pre-leasing for the coming academic year stands at 91.3% with rental rates per bed averaging $1,299. Net operating income is projected to grow at a compound annual rate of 3.3% over the hold period. The going-in capitalization rate of 5.78% reflects the in-place income and the stabilized occupancy assumption. The property is located 4 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Management fees are calculated at 4.5% of collected revenue and are included in operating expenses.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 3.6% of collected revenue and are included in operating expenses. Operating expenses totaled $183,000 or approximately 27.17 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.92x on a trailing basis against a covenant minimum of 1.20x. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

Property Operations

Service requests are tracked through a work-order system with an average completion time of 25 hours. Pre-leasing for the coming academic year stands at 91.7% with rental rates per bed averaging $1,299. The manager completes a monthly walk of the property and submits a variance report to the owner by the 32th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 8th business day. Collections for the period were 90.3% of billed charges, with bad debt of 7.2% of gross potential income. The property is located 7 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Pre-leasing for the coming academic year stands at 89.7% with rental rates per bed averaging $1,299.

Valuation Discussion

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Operating expenses totaled $236,000 or approximately 15.75 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.70x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.93% reflects the in-place income and the stabilized occupancy assumption. Pre-leasing for the coming academic year stands at 89.2% with rental rates per bed averaging $1,299.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4260 Flooring	11,308	12,694	11,101	12,095	12,340	11,727	12,168	11,418	11,234	12,170	11,414	11,668	141,337
4270 Make-Ready / Turnover	15,603	16,816	16,899	16,307	15,783	15,297	14,781	15,375	14,755	15,650	15,746	15,683	188,696
4280 Landscaping Contract	16,106	16,105	16,012	16,938	15,429	15,549	15,545	16,165	16,541	15,865	15,486	16,218	191,959
4290 Snow Removal	10,054	9,677	9,375	8,964	9,118	10,252	9,667	9,918	9,171	10,244	9,369	10,146	115,953
4300 Janitorial	8,582	8,956	8,801	9,611	9,296	9,403	9,196	9,268	8,627	8,440	9,256	8,630	108,067
4310 Pest Control	6,884	6,601	6,428	7,228	6,412	6,424	7,248	7,233	7,236	7,216	6,778	6,788	82,478
4320 Trash Removal	10,762	10,681	9,827	9,723	10,319	10,825	10,659	10,708	9,744	10,263	9,532	10,508	123,551
4330 Elevator Contract	16,304	14,918	15,175	15,315	16,377	15,119	16,063	16,656	16,693	15,180	16,275	15,205	189,279
4340 Fire & Life Safety	12,332	10,985	12,521	12,259	12,525	11,346	11,990	11,307	11,190	12,465	12,566	12,225	143,710
4350 Security	3,357	3,372	3,781	3,766	3,415	3,567	3,431	3,464	3,625	3,355	3,498	3,661	42,291
4360 Electricity - Common	17,668	15,772	17,753	17,338	17,583	16,541	16,170	16,610	17,779	16,255	15,724	16,743	201,936
4370 Gas - Common	17,152	18,880	18,287	18,299	18,862	18,953	18,512	17,268	18,330	17,172	17,008	17,108	215,829
4380 Water & Sewer	17,661	17,309	17,271	17,649	16,731	18,429	17,178	16,645	17,081	17,027	18,415	18,321	209,716
4390 Telephone/Internet	2,729	2,862	2,865	2,759	2,767	2,786	2,655	2,795	2,948	2,900	3,011	2,904	33,980
4400 Advertising	2,610	2,804	2,690	2,623	2,579	2,669	2,577	2,862	2,697	2,834	2,841	2,854	32,641
4410 Resident Events	10,344	10,311	10,563	10,393	10,262	9,777	10,517	10,641	10,116	10,174	9,999	10,477	123,573
4420 Office Supplies	14,042	13,265	13,854	13,267	13,411	12,836	12,667	12,925	14,030	14,145	13,004	13,101	160,547
4430 Legal & Professional	10,121	10,402	10,195	10,139	10,162	9,688	10,413	10,172	9,893	9,669	9,493	9,581	119,927
4440 Accounting & Audit	5,858	5,408	5,774	5,993	5,855	5,819	5,262	5,401	5,453	5,869	5,730	5,782	68,202
4450 Licenses & Permits	20,683	19,308	19,543	21,305	20,587	19,499	20,700	21,180	21,251	20,311	19,740	20,927	245,033
4460 Management Fee	3,865	3,727	4,108	3,682	4,064	4,159	4,102	3,787	4,040	4,001	3,685	3,885	47,106
4470 Property Insurance	10,728	10,755	11,344	10,397	11,482	11,690	11,670	10,842	10,371	11,124	10,870	10,829	132,103
4480 Real Estate Taxes	5,179	5,573	5,488	5,567	5,095	5,402	5,799	5,232	5,629	5,457	5,218	5,371	65,012
4490 Asset Management Fee	12,690	12,402	13,605	12,926	12,963	12,587	12,627	12,707	13,261	12,798	12,374	13,294	154,235
4500 Replacement Reserves	15,491	16,260	14,496	15,278	15,054	15,742	15,388	15,107	14,737	14,382	15,495	15,397	182,827
4510 Roof Repairs	9,835	9,666	9,755	10,387	9,622	9,927	9,838	9,976	10,621	9,849	10,789	9,777	120,043
4520 Parking Lot Repairs	2,075	2,067	2,131	2,237	2,303	2,224	2,134	2,156	2,036	2,276	2,143	2,055	25,836
4530 Signage	13,272	12,753	12,498	13,625	12,067	12,280	12,071	12,392	13,045	12,066	13,211	12,946	152,226
4540 Tenant Improvements	12,505	13,835	13,198	12,409	13,276	12,657	12,982	12,813	13,024	13,251	13,331	13,595	156,875
4550 Leasing Commissions	5,356	5,104	5,242	4,973	5,352	4,947	5,103	4,891	5,122	5,186	4,927	5,329	61,533
4000 Gross Potential Rent	175,985	178,965	175,063	159,820	179,776	169,913	175,752	171,459	171,773	181,622	180,006	169,107	2,089,241
4010 Loss to Lease	43,665	39,841	44,167	40,037	41,285	42,142	39,949	39,230	43,732	41,619	41,963	42,517	500,147
4020 Vacancy Loss	54,297	51,917	50,270	52,599	49,254	49,996	51,962	49,911	49,259	54,957	52,841	50,257	617,520
4030 Concessions	80,304	80,985	88,711	90,460	81,061	88,523	85,081	84,186	82,504	89,157	90,817	84,550	1,026,338
4040 Bad Debt	20,404	20,847	21,238	20,294	20,542	20,565	20,837	19,943	20,653	19,251	20,981	20,670	246,223
4050 Late Fees	112,567	123,842	112,846	118,137	111,709	108,275	123,902	115,521	117,184	115,842	110,047	119,421	1,389,293
4060 Utility Reimbursements	93,704	96,972	101,046	92,264	100,191	97,672	97,703	98,407	92,385	97,424	91,032	101,720	1,160,520
4070 Parking Income	151,904	153,721	150,741	136,895	144,643	153,442	145,133	140,896	144,274	140,535	136,930	134,090	1,733,205
4080 Application Fees	141,878	139,475	156,621	143,890	154,923	155,325	144,773	155,766	152,585	156,853	147,930	140,009	1,790,027
4090 Pet Rent	104,649	103,588	111,066	104,166	111,867	115,881	108,412	102,274	114,746	106,660	111,557	106,015	1,300,881
4100 Laundry Income	115,237	113,606	117,729	109,514	120,764	112,631	118,594	111,539	107,601	107,576	121,320	108,100	1,364,211
4110 Cable/Internet Revenue	93,439	95,499	92,642	93,540	100,291	93,155	101,036	104,454	98,129	100,131	94,797	95,773	1,162,886
4120 CAM Reimbursements	55,089	58,572	51,810	54,534	57,786	56,754	53,618	53,819	51,413	52,174	55,585	56,074	657,228
4130 Tax Reimbursements	134,213	124,510	124,113	124,475	136,650	131,479	137,610	123,171	131,160	134,997	120,596	124,745	1,547,718
4140 Insurance Reimbursemen	124,147	108,544	112,873	120,878	111,553	118,178	122,591	119,582	110,981	118,513	111,422	122,727	1,401,989
4150 Percentage Rent	123,361	131,679	130,990	121,734	116,852	130,195	129,898	126,513	118,707	117,145	129,981	118,817	1,495,872

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Summary and Notes

Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 4.9% over the hold period. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The property is located 8 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Management fees are calculated at 6.3% of collected revenue and are included in operating expenses.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $79,000 or approximately 20.47 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 8.17x on a trailing basis against a covenant minimum of 1.20x. Pre-leasing for the coming academic year stands at 90.2% with rental rates per bed averaging $1,299. The property is located 7 blocks from the main campus with a dedicated shuttle serving fall and spring terms.

Management Commentary

Pre-leasing for the coming academic year stands at 88.3% with rental rates per bed averaging $1,299. Service requests are tracked through a work-order system with an average completion time of 27 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 39th business day. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 24 hours. Collections for the period were 96.2% of billed charges, with bad debt of 7.4% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 30th business day.

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